European Commission - Press release

# Mergers: Commission clears ALD's acquisition of LeasePlan, subject to conditions

Brussels, 25 November 2022

The European Commission has approved, under the EU Merger Regulation, the proposed acquisition of LeasePlan by ALD. The approval is conditional on full compliance with commitments offered by ALD.

**ALD** and **LeasePlan** are leading suppliers of operational leasing and related management services, in the European Economic Area ('EEA'). They compete, among others, in the provision of operational leasing services to large corporate customers that typically require multiple vehicles across several EEA countries. In an operational lease contract it is generally the lessor who bears the risks attached to the property of the vehicle.

**The Commission's investigation**

The Commission had concerns that the transaction, as initially notified, would have significantly reduced competition in the **markets for operational leasing** in Czechia, Finland, Ireland, Luxembourg, Norway and Portugal.

The Commission's investigation found that:

- The merged entity would have a **strong market position and would face limited constraints** from other competitors in Czechia, Finland, Ireland, Luxembourg, Norway and Portugal.
- The markets for operational leasing are characterized by **significant barriers to entry** such as access to financing or building a network to deliver the services.
- ALD and LeasePlan are **close competitors**, in particular as regards large corporate customers.

**The proposed remedies**

To address the Commission's concerns, ALD offered to:

- **Divest ALD's operational leasing business in Ireland, Norway and Portugal**, as well as **LeasePlan's businesses in Czechia, Finland and Luxembourg**, with their assets, contracts and employees. This will enable any purchaser to run the divested businesses as a viable competitive force in the respective markets on a lasting basis.
- **Provide transition services**, such as providing time for rebranding, access to IT services or access to used car sales platform, for a transitional period of up to two years, which may be extended by up to one additional year.

These commitments remove the overlaps existing between ALD and LeasePlan's activities in the national markets for operational leasing where the Commission had identified competition concerns.

Following the market test, the Commission concluded that the transaction, as modified by the commitments, would no longer raise competition concerns. The decision is conditional upon full compliance with the commitments.

**Companies and products**

**ALD** is the holding company of the ALD Group, headquartered in France. The ALD group provides mobility solutions, mainly vehicle leasing and related management services. It is solely controlled by Société Générale S.A., the holding company of the Société Générale Group, a banking and financial services group headquartered in France.

**LeasePlan,** headquartered in the Netherlands, is a fleet management and driver mobility company. LeasePlan's main business is vehicle leasing and related management services.

Merger control rules and procedures

The transaction was notified to the Commission on 5 October 2022.

The Commission has the duty to assess mergers and acquisitions involving companies with a turnover above certain thresholds (see Article 1 of the Merger Regulation) and to prevent concentrations that would significantly impede effective competition in the EEA or any substantial part of it.

The vast majority of notified mergers do not pose competition problems and are cleared after a routine review. From the moment a transaction is notified, the Commission generally has a total of 25 working days to decide whether to grant approval (Phase I) or to start an in-depth investigation (Phase II). If commitments are proposed in Phase I, the Commission has 10 additional working days, bringing the total duration of a Phase I case to 35 working days, such as in this case.

More information will be available on the Commission's competition website, in the public case register under the case number M.10638.

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Press contacts:

Arianna PODESTA (+32 2 298 70 24)
Maria TSONI (+32 2 299 05 26)
Nina FERREIRA (+32 2 299 81 63)

General public inquiries: Europe Direct by phone 00 800 67 89 10 11 or by email